



RENTAL OF COOPERATIVE PROPERTY/EQUIPMENT

POLICY 10-1

PURPOSE: To establish policy on rental of cooperative property and equipment

INTRODUCTION:

In the interest of public service and assistance to communities in the coverage area, it may be necessary to lease to our member-consumers cooperative property and equipment.

Furthermore, private companies which have contracts with the cooperative may, in emergency cases, need cooperative equipments.

For these purposes, the Board hereby adopts the following policies:

1. The cooperative may lease to member-consumers and contractors working for the cooperative any property or equipment, such as vehicles and transformers, provided that the cooperative's work, job or service will not be hampered.
2. The rental rates shall be determined by the management.

IMPLEMENTATION:

The General Manager shall be responsible for implementing this policy.

(SGD) ABUNDIO M. AWAL
President

(SGD) MAHONG S. MUSCARA
Secretary

APPROVED per Resolution No. 38-78 dated June 03, 1978.



POLE RENTAL FOR UNDER-BUILT TELEPHONE SYSTEM

POLICY 10-1-A

As amended

RATIONALE:

Many wood pole structures put up by BENECO to run its power lines are also being used by other utility firms (e.g. the telephone and cable television industry) in an under-built fashion to serve their own customers.

OBJECTIVE:

To establish an equitable rate for the rental of poles for the use of the telephone systems (under-built).

POLICIES:

1. The cooperative, at its own option, may accept and allow telephone companies to install in an under-built fashion, cable facilities and its appurtenances provided that a JOINT POLE USE AGREEMENT is entered into between the two parties.
2. To compensate the BENECO for the troubles it encounters with under-built telephone/cable television system, it shall impose a rent in the amount of TWO HUNDRED FIFTY (P250.00) pesos per year per pole regardless of the poles' height. Said rent will be billed to and paid by the utility monthly together with its power bill, if any.
3. The term of the JOINT POLE AGREEMENT shall be for a period of one (1) year.
4. All BENECO policies and previously promulgated rules, memoranda and Board Resolutions heretofore issued relative to matters treated herein but which are inconsistent with its provisions, are hereby superseded, otherwise these rules that are consistent herewith shall serve as supplementary to this policy.

IMPLEMENTATION:

The General Manager shall be responsible for the implementation of this policy.

(SGD) VICTORIO T. PALANGDAN
Secretary

(SGD) WILLIAM B. MENDOZA
President

Amended pursuant to Resolution No. 60-2002 dated May 11, 2002..

** Approved pursuant to Res. # 60-02 A.C. 12-9-02
Secretary President
5-11-02*



CONDUCTOR COVERS RENTAL

POLICY 10-1-B

RATIONALE:

In the interest of public safety, the BENECO uses conductor covers as temporary remedy when clearances are not met, such as on building constructions, above rooftops, unguarded windows/balconies and areas accessible to pedestrians. BENECO installs these conductor covers free of charge on the assumption that these be used only for a short period of times, one (1) month at the most.

However, there are some instances that one (1) consumer uses these conductor covers beyond the one (1) month period and these cannot be retrieved and used by BENECO and other consumers requesting the use of the same. It cannot be denied that with the frequent use of these conductor covers, its installation deteriorates and has to be replaced, all at the expense of BENECO.

In order to correct this situation, where the use of these equipments benefit only a few and sometimes to the detriment of the operations of BENECO, the Board of Directors has adopted to impose rental on the use of BENECO'S covers.

PURPOSE:

To establish a reasonable rental rate for the use of BENECO'S conductor covers.

POLICIES:

1. That BENECO shall not charge rental for the conductor covers for a period of not more than one (1) month;
2. That BENECO charge rental for the conductor covers for the period in excess of one (1) month;
3. That BENECO shall charge rental for the conductor covers using the following formula

$$\text{COST OF MONTHLY RENTAL} = \frac{\text{Cost of Unit} \times \text{No. of Units} \times \text{No. of Months}}{\text{Useful Lifespan of Units in Months}}$$

IMPLEMENTATION: The General Manager shall be responsible in the implementation of this Policy.

Certified true and Correct:

Attested:

VICTORIO T. PALANGDAN
Secretary

WILLIAM B. MENDOZA
President

Approved as per Board Resolution No. 181-2001 dated December 08, 2001